

The \$4.56B Malpractice Landscape — Profession Poised to Serve It

Fewer than 5,000 active LNCs serve 1.3M+ U.S. attorneys. A supply-demand gap creating a durable, AI-enabled competitive moat in underserved regions.

\$4.56B • 9,859 Claims

**<5,000 LNCs • 1.3M
Attorneys**

01

Civil Litigation Surge

Higher-value claims averaging \$463K each — driving demand for expert clinical analysis.

02

NP/PA Liability Expansion

Record 1,143 advanced-practice reports in 2023 — complex dual-liability cases on the rise.

Strategic Thesis

Capture uncontested high-litigation markets (Southern & Eastern US) before consolidation. Agency operations + AI delivery (90% chronology time reduction) + regional SEO = durable moat.

Where the Market Is Overbuilt vs. Wide Open

Strategic jurisdiction mapping reveals first-mover agency opportunities in underserved Southeast markets.

SATURATED — Avoid / Compete Selectively

CA **California:** Highest LNC density; MICRA \$250K cap

IL **Illinois:** Chicago-dominated; commodity pricing

**O
H** **Ohio:** Entrenched multi-generational LNC ties

PA **Pennsylvania:** Philly/Pitt duopoly incumbents

TX **Texas:** Established agency-level competitors

HIGH-OPPORTUNITY — Expansion Targets

GA **Georgia:** Uncapped damages; avg payout \$516K; only 4 active LNCs

NC **North Carolina:** Duke/UNC/Advocate dockets; only 1 active LNC

TN **Tennessee:** HCA HQ in Nashville; very low LNC competition

SC **South Carolina:** Charleston/Myrtle Beach growth; favorable rules

First-mover advantage: Sole proprietors dominate target states — agency-level digital presence captures sticky referral networks.

NP/PA MALPRACTICE — FASTEST GROWING LNC VERTICAL

1,143 NPDB claims in 2023 — record high. Dual standard-of-care analysis is a premium LNC differentiator.

NPDB 2023 RECORD

- **1,143** NP/PA malpractice reports — all-time high
- NP diagnostic errors: **40.6%** vs 31.9% for MDs
- PA diagnostic errors: **52.8%** of claims
- Avg NP indemnity: **\$332,137**

PRIMARY ALLEGATIONS

- **40%** Diagnostic Errors (cancer, sepsis, PE)
- **25%** Treatment/Medication Errors
- **20%** Failure to Refer/Consult
- **15%** Monitoring Failures

DUAL LIABILITY

- **82%** of NP claims also name supervising MD
- Multi-defendant litigation; separate SOC analyses
- LNC reviews NP scope + MD supervisory standard
- Full practice authority states shift analysis



AVG DX CLAIM

\$385,947

NP diagnostic error claims — 16% above overall NP average

LNC OPPORTUNITY: PREMIUM DIFFERENTIATOR

Dual standard-of-care analysis is a **highly specialized, premium-rate service** few consultants can perform. LNCs with NP/PA clinical experience hold a defensible competitive edge in this fastest-growing vertical.

Beyond Malpractice — The Full Spectrum of LNC Services



CATASTROPHIC INJURY LITIGATION

TBI, spinal cord, severe burns, amputations. LNC role: life care plan review, neuro record analysis, rehab cost projection. **TBI avg \$2.8M+ · Spinal \$3.4M+**. Key states: FL, GA, TX, NY.

NURSING HOME & LONG-TERM CARE

Pressure ulcers, falls, med errors. MDS/eMAR review, F-tag identification (F686, F689, F757). Market: **15,600+ certified facilities** nationally.

WORKERS' COMPENSATION REVIEW

Causation, surgical necessity, MMI challenges. Peer review, IME analysis, utilization consulting. **2.8M non-fatal workplace injuries/yr (BLS 2024)**. High-yield: FL, GA, NC, TN.

MASS TORTS & PRODUCT LIABILITY

Pharma adverse events, device failures, PFAS/asbestos exposure. Causation, literature review, MDL screening. Active MDLs: **Bard/Davol mesh, Exactech, CPAP**.

Know Your Buyer

Matching LNC services to firm type, size, and needs

Mid-Size

PI / Malpractice — Primary

10–50 attorneys, 200–500 active files. Rapid case screening, chronologies, merit review. Flat-fee \$2.5K–\$8K per case.

Boutique

Plaintiff Trial — Premium

3–15 attorneys, catastrophic injury, \$1M+ cases. Standard-of-care reports, deposition prep. \$5K–\$20K+ retainers.

Defense

Insurance & Healthcare

Multi-office firms, carrier clients, high volume. Objective EOR review, defense chronologies. Volume \$1.5K–\$5K per file.



Solo / Small Firms

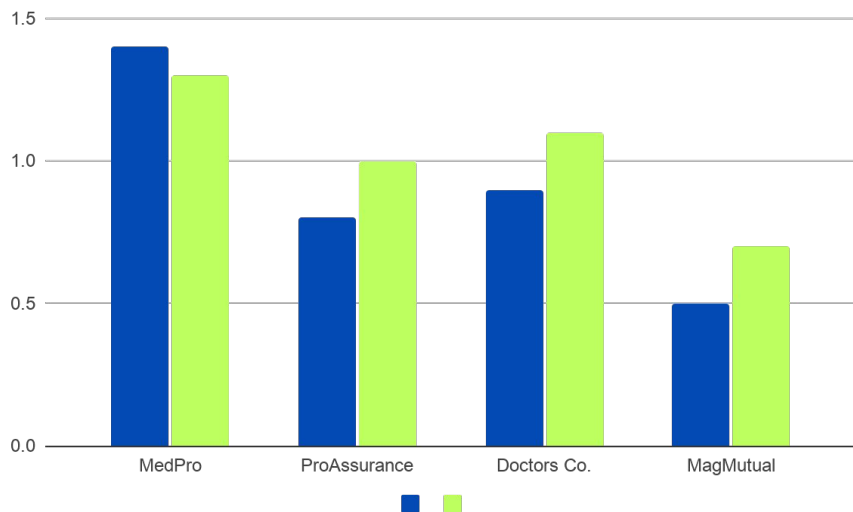
<10 attorneys, niche focus. On-demand consulting and rapid chronology — cost-effective team extension.

Examples: Bell Law · Moses Firm · Conroy Simberg · Hall Booth Smith · Young Moore Henderson · Baker Donelson

The B2B Insurance Market — Recurring Revenue at Scale

LNCs serve as a clinical extension of the claims department — solving e-EOR compliance, bill review delays, and case manager shortages across carriers and TPAs.

Primary Carrier Targets — Annual Premium (\$B)



Primary TPA Targets

Sedgwick — 3M+ claims/yr

Gallagher Bassett — 1.5M+ claims

ESIS / Chubb — Large commercial

CorVel — National managed care

\$5B+

Annual MPL premium market. Entry via GA, FL, NC regional offices — clinical review pilots establish volume retainers.

IME/DME Observation

Premium Billing. High Barriers.

Plaintiff attorneys increasingly demand LNC observers to protect exam integrity, preserve evidence, and challenge biased examiner reports — creating a defensible, high-margin niche.

Core Observer Duties

- Verify exam stays within court-ordered scope
- Real-time documentation of examiner conduct
- Draft professional post-exam observation reports
- Advise attorney on report inconsistencies & depositions

\$1.5–4K

Revenue per DME event

Repeat

Business model by jurisdiction

\$650

Top hourly
billing rate

\$1.5K

Flat fee per
written report



3–5

Observations
per week

\$200–400K

Annual revenue potential

Market Niche

Jurisdiction-Specific Observer Rights



State-by-state statutory complexity drives premium LNC pricing — each jurisdiction creates a distinct professional role and documentation standard.

CALIFORNIA

CCP § 2032.510

Absolute statutory right to attorney/observer presence. Audio + video recording permitted by statute. LNC attends with attorney for full documentation.

PREMIUM: HIGH

NEW YORK

Labor Law § 206-A

Female observer required for female plaintiff/male examiner. Departmental split: 1st Dept needs special circumstances; 2nd Dept burden on defense.

GENDER COMPLIANCE

NEW JERSEY

Rule 4:19-2 (Sept 2024)

New Supreme Court rule: plaintiff notifies intent within 14 days. Burden shifts to defense to seek protective order to exclude observer.

BURDEN SHIFT

GEORGIA

O.C.G.A. § 9-11-35

Observers permitted with notice. Recording heavily resisted — court order needed. Handwritten contemporaneous notes are gold standard.

PREMIUM: HIGH

FLORIDA · Fla. R. Civ. P. 1.360 — Court discretion on observers. South FL among highest-volume DME markets nationally; PI + WC venues actively seek LNCs.

18,145 Adverse Actions **Annually**

A specialized, high-stakes LNC vertical. Board of Nursing defense generates consistent, non-litigation revenue and deep specialty attorney relationships.

Premium Billing Economics

- Attorney fees: \$15K–\$50K per case
- LNC rate: \$150–\$250/hour
- LNC engagement: \$3K–\$10K/case
- eNLC: 1 action = 41-state exposure
- Multi-state cascade = multi-defense

→ Critical BON Services

- EHR audit & metadata analysis
- ADC transaction log review
- Medication timeline reconstruction
- Standard-of-care narrative
- Peer comparison benchmarking

41

**eNLC states — one cascade
triggers multi-state defense**

4.2M

Active U.S. nursing licenses subject to disciplinary review — eNLC links 41 states via Nursys cascade.



Target Defense Counsel

Chapman Law Group · Hahnah Williams Law ·
Landon White Law · FL/GA/NC/TN bar referral
networks

The Southeast Priority Region

130M+ residents (40% of U.S.), fastest-growing metros, massive hospital systems, active dockets in every major metro — and critically low LNC competition dominated by sole practitioners.

Top markets: GA · FL · NC · SC · TN · AL · LA · KY · MS · AR

GEORGIA — AVG PAYOUT

\$516,459

Damage caps voided · Very low LNC density

OPPORTUNITY SCORE — GEORGIA

94.5 / 100

#1 ranked state · FL 91.0 · NC 88.5 · TN 83.0

Georgia — Score 94.5/100

The #1 priority LNC market — uncapped non-economic damages, near-zero competition, and a \$516K average malpractice payout across 165 paid claims in 2025.

94.5 / 100

\$516K

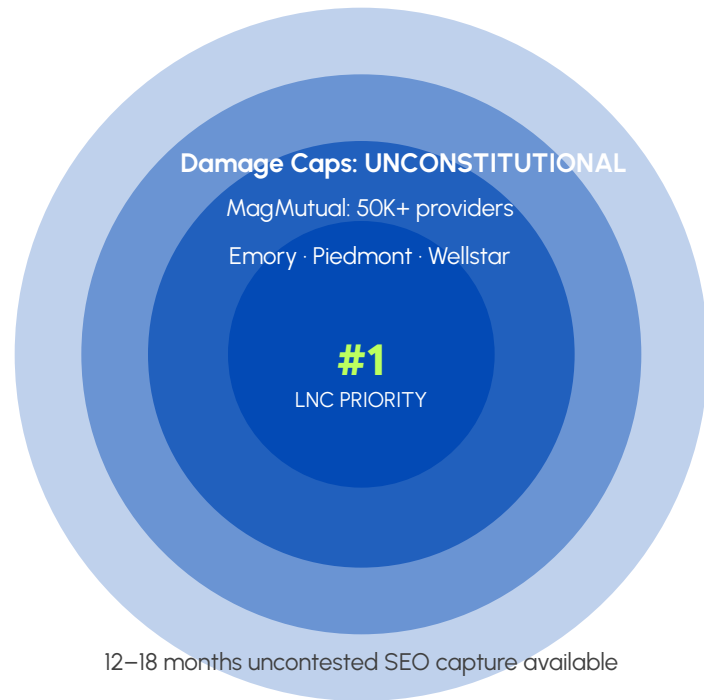
Avg 2025 malpractice payout (\$85.2M across 165 claims)

Only 4

Active LNCs statewide — first-mover advantage available

Top Targets — Atlanta Metro (6M+, ~10K attorneys)

- **Bell Law Firm** — Catastrophic PI & malpractice plaintiff
- **Moses Firm** — Nursing home & elder abuse litigation
- **Hall Booth Smith** — Healthcare liability defense
- **Montlick & Associates** — High-volume PI docket



North Carolina — Score 88.5/100

Only 1 Active LNC statewide — effectively unoccupied, high-growth market.

01

Active LNC
Competition
Statewide

1 LNC

33,000+ NC attorneys · ~\$380K avg
payout

HEALTHCARE INFRASTRUCTURE

- **Advocate Health** (Atrium + Wake Forest): 67 hospitals
- **Duke Health** — Level I Trauma, nationally ranked
- **UNC Health** — Academic medical center
- **Novant Health** — 19 medical centers

KEY MARKETS

- Charlotte — #1 SE growth
- Raleigh-Durham — Triangle
- Greensboro/Winston-Salem
- Wilmington — coastal PI

LAW FIRM TARGETS

- Young Moore Henderson
- DeMayo Law — Charlotte PI
- Tin Fulton Walker & Owen
- Poisson Poisson & Bower

Florida Market

Score 91.0 / 100

Highest regional payout volume with an open digital frontier outside saturated South FL. Tampa, Orlando & Jacksonville remain wide open for LNC market entry.

\$203.85M

2025 Payouts · 670 claims

215+

Acute care hospitals

Top Law Firm Targets

- Morgan & Morgan — Statewide PI volume leader
- Grossman Roth Yaffa Cohen — Miami med-mal
- Kelley Uustal — Ft. Lauderdale catastrophic
- Conroy Simberg — Healthcare liability defense



Key Markets

Miami saturated · **Tampa** growing MDL hub
Orlando health-tourism volume · **Jacksonville** low LNC competition
Ft. Lauderdale nursing home litigation

TENNESSEE · SCORE 83.0/100

HCA Headquarters + Near-Zero LNC Competition

Cap: \$750K non-economic (TCA §29-39-102)

Hub: HCA Healthcare HQ — Nashville, 180+ hospitals

Growth: Nashville top-10 fastest-growing metro

LNC Density: Very low — open competitive field

KEY MARKETS & INFRASTRUCTURE

Nashville (2.1M): HCA HQ, Vanderbilt UMC Level I

Memphis: Regional One Level I, high-acuity docket

Knoxville: UT Medical Center, active bar

Chattanooga: Erlanger Health, Ballad (21 hosp NE TN)

TOP LAW FIRM TARGETS

- ▶ The Kelly Firm — Nashville · Healthcare defense
- ▶ Baker Donelson — Nashville/Memphis · Regional
- ▶ Morgan & Akins — Nashville · Plaintiff malpractice
- ▶ Leitner Williams — Chattanooga · Defense specialty

The Definitive Priority Map

Where to Invest First, Second, and Third

GOLD • Score 85+

Phase 1 NOW — maximum resource allocation

SILVER • Score 75–84

Phase 2 expansion — build pipeline in parallel

BRONZE • Score 70–74

Monitor — enter after Phase 1 ROI proven

#	STATE	SCORE	TIER	PHASE	SEO TARGET	DAMAGE CAPS
1	Georgia	94.5	GOLD	Phase 1 NOW	Priority 1	NONE (voided)
2	Florida	91.0	GOLD	Phase 1 NOW	Priority 1	\$500K non-econ
3	North Carolina	88.5	GOLD	Phase 1 NOW	Priority 1	\$712K (2026)
4	New Jersey	86.0	GOLD	Phase 1	Priority 2	None
5	Connecticut	84.5	SILVER	Phase 2	Priority 2	None
6	Tennessee	83.0	SILVER	Phase 2	Priority 2	\$750K non-econ
7	South Carolina	81.5	SILVER	Phase 2	Priority 2	None
8	New York	80.0	SILVER	Selective	Priority 3	None
9	Texas	78.5	SILVER	Selective	Priority 3	\$250K non-econ
10	Pennsylvania	77.0	SILVER	Selective	Priority 3	None
11	Alabama	76.5	BRONZE	Phase 2	Monitor	\$400K non-econ
12	Kentucky	75.0	BRONZE	Phase 2	Monitor	None
13	Colorado	74.0	BRONZE	Phase 3	Monitor	\$300K non-econ
14	Louisiana	73.5	BRONZE	Phase 3	Monitor	LMMA caps
15	Maryland	72.0	BRONZE	Phase 3	Monitor	\$845K non-econ

ACTION IMPERATIVE — GA + FL + NC are triple-Gold markets with simultaneous entry feasibility. Pursue all three in Phase 1.

PHASE

Technology-Enabled LNC Operations

The Model That Produces 70–80% Margins

TRADITIONAL LNC MODEL

- Manual review: 10–20 hrs/case
- Hourly billing: \$125–\$200/hr
- Revenue/case: \$1,250–\$4,000
- Operating margin: **30–40%**
- Scaling: requires hiring more LNCs

AI-ENABLED LNC MODEL

- AI chronology: 2–4 hrs/case total
- Flat-fee: \$800–\$2,500/case
- Revenue/case: \$800–\$2,500
- Operating margin: **70–80%**
- Scaling: 5–10x throughput, fixed cost



KEY AI PLATFORMS

Intake.ai · DISCO/Relativity · ChatGPT-4o Custom GPTs · Filevine AI · Casepeer

IRREPLACEABLE LNC VALUE

Clinical nuance · Standard-of-care · Expert testimony · Strategy

AI eliminates time cost; the LNC provides clinical intelligence — together: high-margin, scalable.